

Chapter 2

The International Monetary System

From Gold Standard to Global Eclectic:
Understanding How Countries Manage Exchange Rates



What You Will Learn

6 key objectives for this chapter

01

Historical Evolution

From gold standard to today's eclectic currency arrangements

04

The Euro

Dramatic choices the EU made to create a single currency

02

IMF Classification

How the IMF categorizes the many exchange rate regimes worldwide

05

Emerging Markets

Complexity of regime choices in developing economies

03

Fixed vs. Flexible

How countries choose regimes based on economic & social priorities

06

Chinese Renminbi

China's strategy for gradually globalizing the RMB

History at a Glance

The international monetary system has evolved through 5 major eras



● Gold Standard: "Rules of the game" – each currency pegged to a gold weight. Ended with WWI.

● Inter-War: Currencies floated wildly; speculators attacked weak currencies; USD only stable currency by WWII.

● Bretton Woods: USD = anchor; IMF + World Bank created; collapsed 1971 when Nixon ended gold convertibility.

● Floating Era: Market forces determine rates; high volatility documented in BIS dollar index.

● Emerging Era: Rising complexity as more emerging market currencies enter global system.

<https://www.youtube.com/watch?v=spvalhyy7i0>

The Gold Standard (1876–1913)

The world's first truly international monetary system

How It Worked

- 1 Each country fixed its currency to a specific weight of gold
- 2 Exchange rates between currencies were effectively fixed
- 3 Money supply growth was limited by a country's gold reserves
- 4 Trade deficits automatically corrected via gold outflows



The Self-Correcting Mechanism



Gold ties money supply directly to the trade balance — no central bank discretion needed.



Concrete Example

In 1900, the UK set £1 = 113 grains of gold; the US set \$1 = 23.22 grains. This implied £1 = \$4.87 automatically — no negotiation needed.



Why It Collapsed

WWI forced countries to suspend gold convertibility to finance massive wartime spending. Once the anchor broke, currencies floated uncontrollably — setting off two decades of chaos.

Bretton Woods & the IMF (1944)

The post-WWII architecture that shaped global finance



The Deal

44 Allied nations met in New Hampshire in 1944. USD became the world's reserve currency, convertible to gold at \$35/oz. All other currencies pegged to USD.



1944

Bretton Woods
begins



New Institutions

IMF: helped nations defend currencies and correct trade imbalances.

World Bank: funded post-war reconstruction and development.



1944-71

IMF & World Bank
in operation



The Collapse

Growing US deficits flooded world with dollars. By 1971, foreigners doubted US could honor gold convertibility. Nixon ended it Aug 15, 1971 → free float by 1973.



1971 → 73

Convertibility ends
→ currencies float

 Special Drawing Right (SDR): The IMF's reserve asset — a weighted basket of major currencies, not tied to gold.

IMF Exchange Rate Regime Classifications

4 main categories — where does your country sit?

Category 1 Hard Pegs

Country surrenders monetary sovereignty

- ▶ Dollarization – adopt another country's currency (e.g., Ecuador uses USD)
- ▶ Currency Board – domestic currency 100% backed by foreign reserves (e.g., Hong Kong)

 Panama has used the USD since 1907

Category 2 Soft Pegs

Fixed rates, but with 5 sub-types

- ▶ Conventional peg
- ▶ Stabilized arrangement
- ▶ Crawling peg
- ▶ Crawl-like arrangement
- ▶ Pegged within horizontal bands

 Saudi Riyal pegged to USD at 3.75

Category 3 Floating

Mostly market-determined rates

- ▶ Free float – no intervention (e.g., USD, EUR, GBP)
- ▶ Managed float – occasional government intervention (e.g., CNY)

 USD freely floats since March 1973

Category 4 Residual

Doesn't fit neatly elsewhere

- ▶ Complex arrangements or frequent changes
- ▶ Hard to classify consistently

Often transition economies in flux

A Global Eclectic

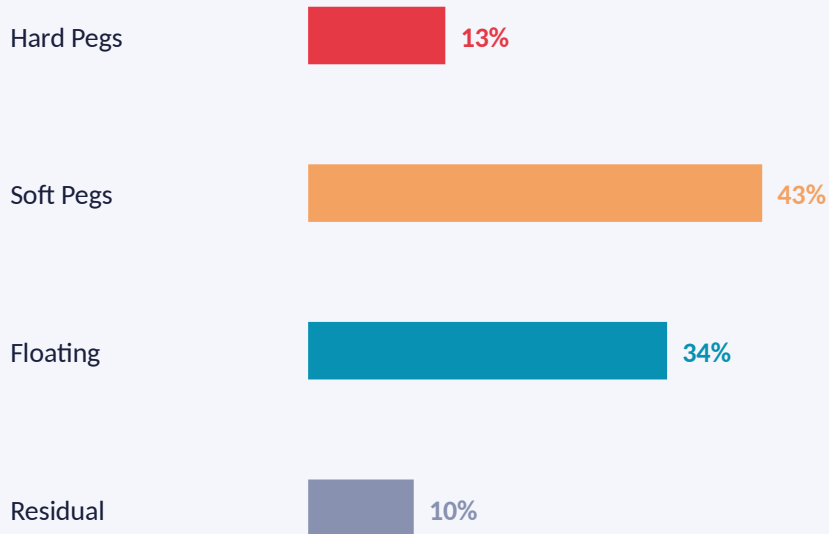
Despite the "floating era" label, most countries don't freely float

~34%

of IMF members use
floating regimes

~66% use pegged
or managed regimes

IMF Member Distribution by Regime Type



Key Insight: The world monetary system is truly "eclectic" — no single regime dominates, and countries pick what fits their economic needs.

Fixed vs. Flexible Exchange Rates

Every country must choose — and trade-offs are unavoidable



Fixed Rate Regime

✓ Advantages

- ▶ Stable international prices for trade & investment
- ▶ Built-in anti-inflationary discipline
- ▶ Reduces exchange risk for businesses

✗ Disadvantages

- ▶ Central bank must hold large gold/FX reserves
- ▶ Rate can be inconsistent with economic reality
- ▶ Monetary policy independence is lost



Flexible Rate Regime

✓ Advantages

- ▶ Monetary policy can target domestic needs
- ▶ Automatic adjustment to trade imbalances
- ▶ No need for large FX reserve stockpiles

✗ Disadvantages

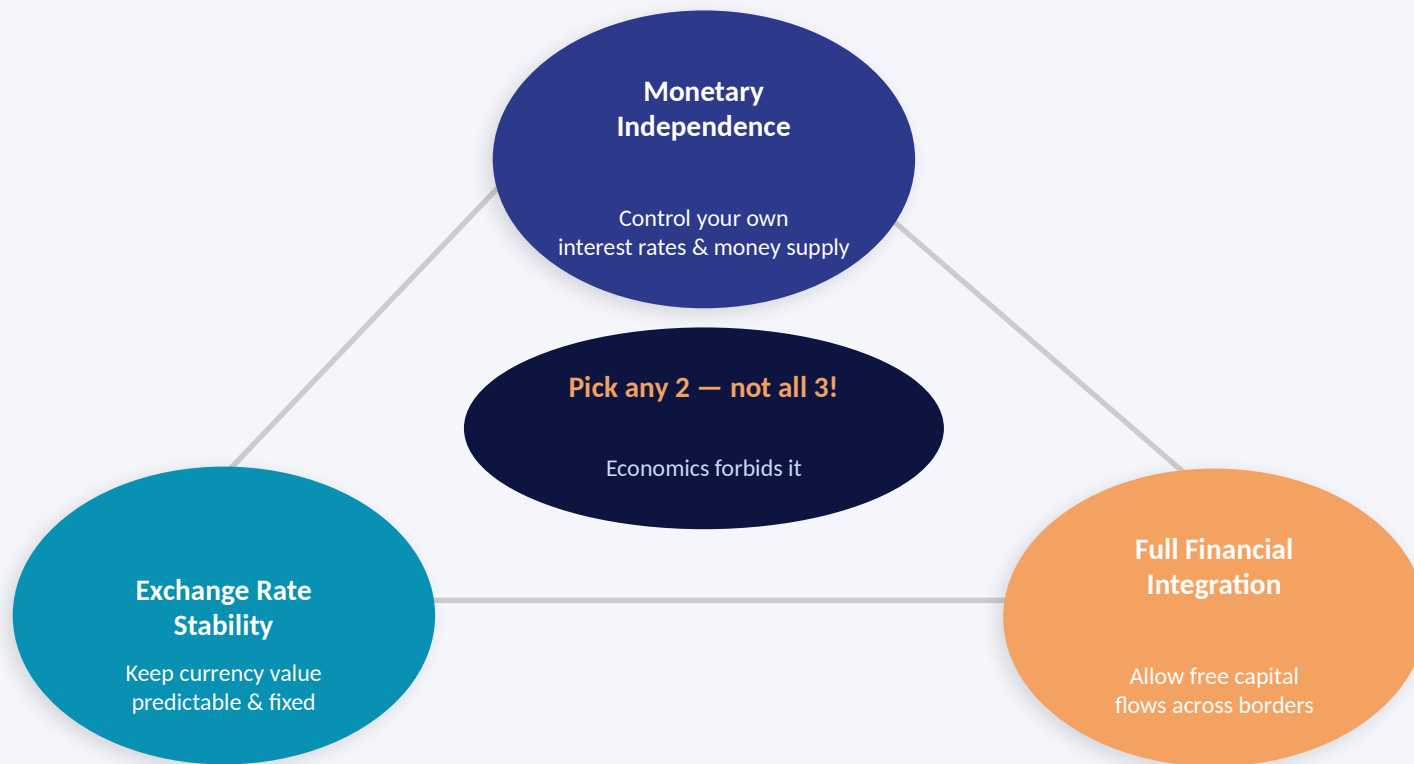
- ▶ Higher exchange rate volatility
- ▶ Uncertainty raises costs for international trade
- ▶ Speculation can cause overshooting



Choice depends on: inflation goals, unemployment, interest rates, trade balance, and economic growth priorities — and can change over time.

The Impossible Trinity

Every nation can achieve only 2 of these 3 goals simultaneously



Real World



USA

Independent + Integrated
(floating rate)



HK

Stable + Integrated
(currency board)



China

Stable + Independent
(capital controls)

A Single Currency for Europe: The Euro

The most ambitious monetary union in history

1991

Maastricht Treaty

EU members agreed on timetable to replace national currencies

1998

ECB Established

European Central Bank set up in Frankfurt to manage monetary policy

1999

Euro Launched

11 countries adopt the euro for financial transactions (notes/coins follow in 2002)

2008–

Debt Crisis

Greece & others: fiscal problems exposed tensions — monetary unity without fiscal unity



Convergence Criteria (to join)

- ▶ Low inflation rate
- ▶ Low long-term interest rates
- ▶ Fiscal deficit < 3% of GDP
- ▶ Government debt < 60% of GDP



3 Effects of the Euro on Markets

- 1** Cheaper transaction costs (no FX conversion)
- 2** Reduced currency risk across the eurozone
- 3** Price transparency → stronger competition

Emerging Markets & Regime Choices

Developing economies face a unique set of challenges

3 Structural Challenges

1

Weak Institutions

Underdeveloped fiscal, financial and monetary systems make regime maintenance harder

2

Currency Substitution

Commerce often denominates liabilities in USD ("original sin"), limiting local currency credibility

3

Sudden Stop Risk

Vulnerability to rapid reversal of foreign capital inflows — can trigger currency crises

The "Hollowing Out" Hypothesis

Many experts believe emerging markets will be forced to the extremes:

HARD PEG

Dollarization
or Currency Board

 Panama (USD 1907)
 Ecuador (USD 2000)
 Argentina Board
1991–2002

OR

FREE FLOAT

Fully market-driven
exchange rate

Requires strong
institutions &
open capital
markets



Middle-ground "soft pegs" are increasingly unstable for emerging markets

Globalizing the Chinese Renminbi (RMB)

From tightly controlled to aspiring global reserve currency

China operates a two-tier FX market:



Onshore Market (CNY / RMB)

- ▶ Traded through CFETS (China FX Trade System)
- ▶ People's Bank of China sets daily parity rate (the "fixing")
- ▶ Two-tier: retail + interbank wholesale market
- ▶ Gradually deregulated over time



Offshore Market (CNH — Hong Kong base)

Preferred access to onshore market; fueled by RMB-denominated bond issuance ("dim sum bonds"); enables back-flow of funds.



RMB Gradual Globalization Strategy

1994

Unified exchange rate, pegged to USD

2005

Revalued vs USD, moved to managed float

2009

Yuan trade settlement pilot launched

2015

CNY devaluation; IMF SDR basket inclusion (2016)

Today

Expanding offshore use; capital controls gradually eased

Goal: RMB as a true international reserve currency alongside USD, EUR, JPY

Exchange Rate Regimes: What Lies Ahead?

All regimes must balance two fundamental tensions:

Rules + Independence

Pre-WWI Gold Standard

Countries followed gold rules autonomously

Rules + Cooperation

Bretton Woods / EMS

Multilateral framework with binding rules

Discretion + Independence

Today's System

No binding rules; each country acts alone

Discretion + Cooperation

Ideal Future?

Nations cooperate while keeping domestic flexibility

Key Takeaway: The world needs a system that combines international cooperation with domestic economic flexibility — but achieving this remains elusive.

Chapter 2 Summary

The International Monetary System

1 The system evolved from gold standard → Bretton Woods → floating era → eclectic mix

2 IMF classifies regimes into Hard Pegs, Soft Pegs, Floating, and Residual

3 The Impossible Trinity: countries can achieve only 2 of 3 goals (stability, integration, independence)

4 The Euro unified 20+ countries but exposed fiscal fragility (Greek debt crisis)

5 Emerging markets face structural challenges pushing them toward extremes

6 China is carefully globalizing the RMB via a dual onshore/offshore market strategy

